

ORIGINAL

(S E R V E D)
(MARCH 22, 1991)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

March 22, 1991

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

PROCEDURAL ORDER

**MOTION TO DISMISS OR, IN THE ALTERNATIVE, TO STAY
PROCEEDINGS PENDING RESOLUTION OF JURISDICTIONAL
ISSUES IN THE APPROPRIATE FORUM, DENIED**

By submission dated December 3, 1990, the Respondent, Sea-Land Service, Inc. ("Sea-Land") filed the above-styled Motion. The Motion is based on the premise that the decision of the Interstate Commerce Commission ("ICC") in *Puerto Rico Maritime Shipping Authority and PRMMI Trucking, Inc.--Petition for Declaratory Order*, No. MC-C-30168, decided November 9, 1990 (the "ICC Order"), prevents the FMC from exercising jurisdiction in this proceeding because:

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. . . The ICC's ruling clearly holds that the FMC has no jurisdiction to investigate services being offered pursuant to ICC tariffs unless and until the ICC first has determined that it has no jurisdiction over such services. . . . [Footnote reference omitted.] (Motion, p. 2)

The Motion further provides that "the . . . ('ALJ') either certify this motion to the full Federal Maritime Commission for consideration or that this document be deemed to contain a Motion for Leave to Appeal to the Commission should the ALJ deny it in whole or in part" (Motion, p. 3). Finally, the Motion contains over eight (8) pages of "HISTORY OF THE PROCEEDING TO DATE" which is submitted with the comment that:

. . . Although the presiding Administrative Law Judge is familiar with these matters and their history, we provide herein a recitation of the background of this litigation in anticipation of the possibility of review of all or part of his decision in fora that lack detailed knowledge of the history of the matter.

To avoid any possible confusion it should be noted that the "historical" data submitted in the Motion is not a necessary component of it and only serves to confuse consideration of the Motion. Firstly, the Respondent's "anticipation" of the possibility of review of all or part of the ALJ's decision may be misplaced. Secondly, and more importantly, the alleged facts enumerated, the points put forth, and the decisions made that are referred to in the "History" portion of the Motion are indeed history and play no real part in consideration of this narrow Motion. Respondent's prior arguments have been rejected as has the Respondent's request that the decisions made be allowed to be appealed to the Commission (Procedural Order served May 21, 1990). Finally, in recent conferences and submissions Sea-Land has agreed that its Motion is based solely on the question of

whether or not the ICC decision in *Puerto Rico Maritime Shipping Authority, supra*, precludes FMC jurisdiction.

Respondent Sea-Land begins its Motion by citing the ICC Declaratory Order and by quoting from the Order that:

the agency with which a tariff is filed has the primary and exclusive authority initially to determine whether the service performed is subject to its regulation. [Emphasis supplied by Sea-Land.]

Under the ICC Order's holding, Sea-Land moves "the presiding officer promptly to dismiss this FMC complaint against Sea-Land as a nullity." It asserts that, "Given the existence and undisputed facial validity of Sea-Land's ICC tariffs, it is now certain beyond any doubt that the . . . complaint . . . lacks a jurisdictional foundation unless and until the GovGuam invokes and exhausts the ICC's primary and exclusive fact finding jurisdiction 'to assess in the first instance whether a motor service conducted under an ICC license is subject to ICC regulation'. . . ." [Emphasis Sea-Land's.] Sea-Land avers that ". . . the proceeding must be dismissed or stayed pending an ICC ruling. All activity on this matter in the FMC forum is futile without an ICC determination of this threshold jurisdictional issue."

On December 18, 1990, the Complainants filed their Reply in Opposition to Sea-Land's Motion to Dismiss (the "Reply"). In it they note that (Reply, pp. 3, 4):

Complainants have not challenged Sea-Land's tariff filings at the ICC or any of its shipments that are moving properly pursuant to its ICC tariffs. Rather, the gravamen of complainants' challenge is that when Sea-Land terminated its FMC tariffs it continued to provide port-to-port shipping services to Guam without a valid tariff on file at the FMC. [Footnote reference omitted.]

Further, the Complainants urge that, (1) Respondent's Motion is repetitious in contravention of the Commission's Rules of Practice and Procedure, 46 CFR 502.73(e), (2) the Commission denied a similar Sea-Land motion in a recent case, (3) the Commission is not barred from determining how a shipment moves by section 33 of the Shipping Act, 1916, (4) the FMC has jurisdiction to determine the existence of port-to-port movements, and (5) the contingent motion to stay the proceeding and for appeal to the Commission should be rejected.

Discussion

Any discussion of the jurisdiction of the Federal Maritime Commission and/or the Interstate Commerce Commission most properly begins with the consideration of the services and movements each agency is meant to regulate. In this regard, and contrary to arguments often espoused by parties appearing before the FMC and ICC, there is no confusion or dispute between the agencies. As the ICC Order on which Sea-Land bases its Motion states (slip op., p. 3):

. . . It is now well settled that the ICC has plenary and exclusive jurisdiction to regulate both the motor and water segments of bona fide joint, through trade between Puerto Rico and points in the continental United States, while the FMC regulates water transportation between ports in the United States and Puerto Rico. *See Trailer Marine Transport Corp. v. FMC*, 602 F.2d 379 (D.C. Cir. 1979) (*TMT*), and *Puerto Rico Maritime Shipping Auth. v. ICC*, 645 F.2d 1102 (D.C. Cir. 1981) (*PRMSA*). . . .

The decisions in the cases cited above have their origin in holdings of the Supreme Court which are both long-standing and consistent. In *Local 1976, United Brotherhood of Carpenters and Joiners v. NLRB*, 357 U.S. 93 (1958), so-called "hot cargo" provisions in a

collective bargaining agreement led to consideration by the NLRB (was it an unfair labor practice?) and the Interstate Commerce Commission (was the service provided non-discriminatory and were the practices just and reasonable?). In commenting on the rulings of the ICC and after noting the ICC had no authority to police labor contracts the Court stated (p. 109):

It is the Commission that in the first instance must determine whether, because of certain compelling considerations, a carrier is relieved of its usual statutory duty, and necessarily it makes this determination in the context of the particular situation presented by the case before it. Other agencies of government, in interpreting and administering the provisions of the statutes specifically entrusted to them for enforcement, must be cautious not to complicate the Commission's administration of its own act by assuming as a fixed and universal rule what the Commission itself may prefer to develop in a more cautious and pragmatic manner through case by case adjudication.

and further (p. 110):

But the fact that the carrier's consent is not effective to relieve him from certain obligations under the Interstate Commerce Act does not necessarily mean that it is ineffective for all purposes, nor should a determination under one statute be carried over in the interpretation of another statute involving significantly different considerations and legislative purposes. Whether a carrier has without justification failed to provide a reasonable and nondiscriminatory service is a question of defining the carrier's duty in the framework of the National Transportation policy. Whether there is a "strike or concerted refusal," or a "forcing or requiring" of an employer to cease handling goods is a matter of federal policy governing labor relations. . . . Common factors may emerge in the adjudication of these questions, but they are, nevertheless, distinct questions involving independent determinations.

In *Burlington Truck Lines v. U.S.*, 371 U.S. 156 (1962), the Supreme Court cited *United Brotherhood, supra*, with approval in reversing a District Court's affirmance of an ICC order where the order conflicted with national labor relations policy embodied in legislation enacted four months after the ICC Order and a year before the District Court's affirmance. The Supreme Court stated (p. 172):

The policies of the Interstate Commerce Act and the labor act necessarily must be accommodated, one to another.

and further (p. 173):

. . . if either agency is not careful it may trench upon the other's jurisdiction, and, because of lack of expert competence, contravene the national policy as to transportation or labor relations.

When one moves from the Supreme Court decisions to those rendered by the Circuit Courts on issues related to the regulatory prerogatives of the ICC and the FMC, the holdings become more precise and more definitive. In *Alaska Steamship Company v. FMC*, 399 F.2d 623 (9th Cir., 1968), a common carrier by water entered into an arrangement with a motor carrier whereby the motor carrier picked up cargo at the shipper's premises and delivered it to the pier for loading and shipment to various ports, and the motor carrier issued through bills of lading covering the entire journey and charged for the full journey. The Court rejected the FMC argument that the services were "pickup and delivery" charges subject to FMC jurisdiction and that only "line-haul" carriage came under ICC jurisdiction. It held instead that under the facts of the case, a "through rate" was involved and that under Public Law No. 87-595, 76 Stat. 397 (1962), the ICC had jurisdiction.¹ The Court under similar facts agreed in *Sea-Land Service, Inc. v. FMC*, 404 F.2d 824 (D.C. Cir., 1968). Nowhere in the *Alaska* or *Sea-Land* cases decision did the Court consider much less state that jurisdiction was with the ICC, either initially or exclusively, because tariffs were on file with the ICC and not with the FMC.

¹In so holding the Court cited *Thompson v. United States*, 343 U.S. 549, 557, where it reversed the ICC in holding there was not a "through rate" under the facts involved but adopted the "through rate" definition proposed by the I.C.C.

In *The Alabama Great Southern Railroad Company et al. v. FMC et al.*, 379 F.2d 100 (D.C. Cir., 1967), the FMC required the railroads who own or control port terminals to file tariffs. The railroads argued in pertinent part that section 33 of the Shipping Act, 1916, precluded the FMC from having jurisdiction. Section 33 provides in part that the Shipping Act:

. . . shall not be construed to affect the power or jurisdiction of the Interstate Commerce Commission, nor to confer upon the Federal Maritime Commission [Commission] . . . concurrent power or jurisdiction over any matter within the power or jurisdiction of such Interstate Commerce Commission. . . . (46 U.S.C. 832 (1964))

The Court held that:

It is to be noted that whereas the above-quoted statute proscribes concurrent jurisdiction over the same "matter," it does not preclude concurrent jurisdiction over the same "persons." Where a person performs functions some of which are subject to regulation under the Shipping Act and others under the Interstate Commerce Act, the same person might be subject to the jurisdiction of one or the other Commissions depending upon the subject matter to be regulated . . . there are instances in which both agencies may need the same information to discharge their separate but dovetailing responsibilities. Cf. *Baltimore and Ohio R. Co. v. United States*, 201 F.2d 795 (3 Cir), *reaff'd* 208 F.2d 734 (3 Cir. 1953). (Underlining supplied.)²

In *Trailer Marine Transport Corp. v. FMC*, 602 F.2d 379 (D.C. Cir., 1979), the FMC sought jurisdiction of the water segment of a "through rate" from Puerto Rico to the United States, arguing that the ICC had authority to regulate only the mainland United States rail segment. The Court rejected the argument, holding that the Interstate Commerce and Intercoastal Shipping Acts, read together, confer plenary and exclusive jurisdiction on the ICC to regulate both the rail and water segments of joint through trade between Puerto

²Sea-Land's Motion to Dismiss contains a similar section 33 argument and is equally without merit.

Rico and inland points of states of the United States. In so holding the Court stated (p. 381):

Since each is an independent agency, however, each has a right to a judicial delineation of its responsibilities. Thus it becomes our duty to draw the line between the jurisdictions of the two. . . .

and further, and most importantly (p. 386, n. 31):

In the case of trade of the type at issue here, there is no such thing as a carrier subject exclusively and invariably to regulation by only one of the two agencies; designation of the appropriate agency to regulate a particular carrier must turn in each instance on the destination and routing of the cargo to be carried. The factor relevant to a determination of the appropriate agency to exercise jurisdiction over a particular carrier is thus the trade activity rather than the "identity" of that carrier.

In *Puerto Rico Maritime Shipping Authority v. ICC et al.*, 645 F.2d 1102 (D.C. Cir., 1981), the Court extended the ruling in *Trailer Marine, supra*, holding that the ICC had jurisdiction over motor-water through rates as well as rail-water through rates. Again, there is nothing in either of the two aforementioned cases which would directly or indirectly support a holding that jurisdiction of the ICC or FMC, whether it be initial and/or exclusive jurisdiction, is predicated on where a tariff is filed.

When one moves to the more recent cases before the FMC and the ICC, the jurisdictional issue raised in this Motion comes into even sharper focus. In *Hemisphere Navigation Co., Inc. v. Sea-Land Service, Inc.*, Docket No. 87-29, Initial Decision, December 15, 1988, Sea-Land, as in this case, terminated its FMC tariffs and filed new tariffs with the ICC. Sea-Land sought dismissal of the complaint, requesting that the case be referred to the ICC "for its opinion as to whether there was a port-to-port service or an

intermodal service performed. . . ." The Administrative Law Judge dismissed the motion finding that a factual inquiry was required. He stated:

. . . our findings relate only to our expertise, that is, to what is or is not an all-water movement. The true issue herein is what is the intrinsic nature of the cargo movements herein. Based on all the incidents of the transportation service, if there truly is only a port-to-port movement, then the matter belongs in an FMC tariff filed with the FMC.

(Ruling on Motion for Summary Judgment, August 25, 1988, at p. 7 (24 SRR 1211, 1213).)

The Commission adopted the ALJ's decision and pointedly stated:

The ALJ in this proceeding was correct in examining all the relevant transportation circumstances, including but not limited to Sea-Land's ICC tariff, in reaching the conclusion regarding the service received by Hemisphere. His approach was consistent with the D.C. Circuit's reminder in *TMT v. FMC* that regulatory jurisdiction in the domestic offshore trades is apportioned between the FMC and the ICC according to particular types of common carriage (or "trade activity"), and not according to the identity carriers chose to assume through their tariffs. 602 F.2d at 386 n. 31. (Emphasis supplied.)

(Order Approving Settlement and Dismissing Complaint, April 28, 1989, at 7 (25 SRR 56).)

Also, on April 28, 1989, the Commission decided *Direct Container Line Inc. v. Atlantic Container Line Inc.*, FMC Docket No. 88-14 (25 SRR 62). In that case the Commission issued an order reversing the dismissal of a complaint on exactly the jurisdictional grounds adopted by Sea-Land in this Motion. In *Direct Container* the ALJ agreed with Respondent that any question regarding the nature of the service provided under ICC tariffs can be examined only by the ICC, and that if the ICC affirmed its jurisdiction over the services then complainants had to pursue any claims at the ICC. In reversing dismissal of the complaint the Commission reviewed the jurisdictional questions that have arisen. Its extended comments warrant citation. It stated:

The decisions finding ICC jurisdiction over intermodal services with minimal motor carrier participation have emphasized the existence of an ICC-filed tariff in which the water carrier and the motor carrier both held themselves out to the public to provide a through service. *E.g., Sea-Land v. FMC*, 404 F2d at 827. At the same time, however, the courts have preserved the principle that "[t]he mere filing of a tariff with an agency does not vest that agency with jurisdiction over a route; rather, jurisdiction turns on the nature of the route itself." *PRMSA v. Valley Freight*, 856 F2d at 548. *See also TMT v. FMC*, 602 F2d at 386 n. 31 ("... designation of the appropriate agency to regulate a particular carrier must turn in each instance on the destination and routing of the cargo to be carried"). Ultimately, "[t]he existence of a through route depends . . . on the nature of the arrangements between [the participating carriers] and their commitments to their shippers." *Alaska Steamship Co. v. FMC*, 399 F2d at 626. Thus, while the existence of an appropriately constructed tariff clearly is significant, inquiry also may be made into such matters as "the billing, the transfer from one carrier to another, the collection and division of transportation charges, or the use of a proportional rate. . . . These incidents named are not to be regarded as inclusive of others which may tend to establish a carrier's course of business with respect to through shipments." *Thompson v. United States*, 343 US 549, 557 (1952). Conversely, a through route may be found to exist though a covering tariff has not been filed. *Denver & Rio Grande Western Railroad Co. v. Union Pacific Railroad Co.*, 351 US 321, 327 (1956). "The question in each case is one of fact." *Id.*

and further, in rejecting the argument that an ICC tariff mandates that jurisdictional challenges be heard only by the ICC, the Commission states:

As our introductory discussion of the relevant case law has already shown, the line of decisions headed by *Sea-Land v. FMC* establishes that the existence of a properly drafted and filed intermodal tariff must be given substantial weight and arguably creates a presumption that any service provided under that tariff was truly joint through service subject to ICC regulation. However, the cases also hold that the presence (or absence) of a tariff is not conclusive and appraisal also may be made of such factors as "the billing, the transfer from one carrier to another, the collection and division of transportation charges," *Thompson v. United States*, 343 US at 557, and in general, the "course of business" followed with respect to the shipments in issue. *Id.* The initial decision in *Hemisphere v. Sea-Land* examined all the relevant transportation circumstances, including but not limited to Sea-Land's ICC tariff. This approach was consistent with the D.C. Circuit's reminder in *TMT v. FMC* that regulatory jurisdiction in the domestic offshore trades is apportioned between the FMC and the ICC according to particular types of

common carriage (or "trade activity"), and not according to the identity carriers choose to assume through their tariffs. 602 F2d at 386 n. 31.

Thus, the extent of FMC jurisdiction over PRMSA's transportation of Complainants' shipments is ultimately dependent on the actual nature of that transportation. As the ALJ observed, no facts regarding the transactions between Complainants and PRMSA have been put into evidence yet. the only question is whether that process can take place before the Commission as part of this proceeding.

The Commission concludes that we are not required to defer to the ICC in developing the missing facts and reaching a conclusion on the issue of our jurisdiction over PRMSA. There is no question here of the FMC trying to assert unlawful concurrent jurisdiction over joint intermodal services or otherwise impinging on the ICC's exclusive jurisdiction; rather, the problem is how and where to draw the jurisdictional line between ICC joint intermodal services and FMC port-to-port services. No authority states that only the ICC may address this question, or that the boundaries of the FMC's jurisdiction depend upon ICC pronouncements, or that the FMC's expertise and authority to define port-to-port service have been diminished by the existence of PRMSA's ICC tariffs. . . . In this instance, the jurisdictional question concerns only one respondent in a complex proceeding with multiple parties and otherwise unrelated issues, and where the prayer for reparations is founded on a favorable FMC decision regarding the underlying carrier activities. Considerations of interagency comity do not require Complainants to shoulder the burden of a separate, parallel ICC proceeding on an issue well within the FMC's competence to resolve.

PRMSA errs in contending that only the enforcement branch of the ICC can have a legitimate interest in whether a carrier has operated in accordance with its ICC tariff. As the record in *Hemisphere v. Sea-Land* demonstrates, it is not difficult to imagine a set of circumstances in which a carrier's operations might create tariff enforcement concerns for both the FMC and the ICC. In addition, the FMC acts properly in ensuring that shippers who receive port-to-port service pay only port-to-port rates; as a general matter, because joint through rates cover at least two transportation legs and are divided between at least two carriers, they can be expected to be higher than all-water rates. In order to discharge its responsibility to protect shippers against unreasonable and discriminatory carrier practices, the Commission must be able to resolve the threshold matter of whether the practices in issue are within our province. [Footnote references omitted.]

Conclusions and Decision

It is well to again note that Sea-Land's Motion to Dismiss is based solely on the ICC's Decision, No. MC-C-30168, styled *Puerto Rico Maritime Shipping Authority and PRMMI Trucking, Inc.--Petition for Declaratory Order* (the "ICC Order"), dated November 9, 1990 (a copy is attached to Guam's Reply to the Motion to Dismiss as Exhibit 2). Sea-Land's Motion to Dismiss contains no other statutory or case law which supports the allegation, much less establishes any precedent for the proposition that the filing of a tariff places jurisdiction initially and exclusively in the agency where the tariff is filed. Given Sea-Land's total reliance on the ICC Order, it is necessary to examine it as well as the arguments made in Sea-Land's Motion regarding it. In doing so, and as will become obvious as this discussion unfolds, the ICC Order is susceptible to various conclusions, and the characterization of the holding Sea-Land would adopt, i.e., the place of the filing of the tariffs gives initial and exclusive jurisdiction, without regard to the nature of the shipment involved, is not the only holding one might attribute to the ICC Order. The Order could readily be construed to mean that where a tariff is filed with the ICC, that agency has the initial and exclusive jurisdiction to determine the validity of its own tariff--a premise with which no one would disagree. The ICC Order could also be taken to mean that where a tariff is filed with the ICC, and a dispute arises as to the nature of the shipment, the ICC has initial and exclusive jurisdiction to determine whether or not the shipment is an ICC regulated shipment--once again a position with which no one would disagree. Finally, the ICC Order might well be intended to be limited to the facts involved in the case and the initial and exclusive jurisdiction might only be meant to apply under those facts, so that if, as here, and unlike the ICC case, the parties agreed that the shipments in dispute did not

involve an ICC carrier, the initial and exclusive jurisdiction would not lie in the ICC. Whatever is precisely meant by the ICC Order, in considering Sea-Land's Motion to Dismiss, the position taken by Sea-Land as to what the ICC Order held has been used. It is the position most favorable to the movant and, in using it, all conjecture as well as unnecessary consideration of possible alternative arguments has been avoided.

Further, it should be noted that the ICC Order considered the Comments of the FMC, which was not a party to the proceeding. In the view of the undersigned and as will later become evident, the arguments made, the law cited, and even the practical suggestions put forth in the submission "Comments of the Federal Maritime Commission" are generally dispositive of the issue here. They state the FMC's position with conciseness and clarity, based on the facts and the controlling law and a thorough reading of them is a necessary adjunct to an understanding of this decision.

Moving to consideration of the ICC Order, its rationale is difficult to understand because it contains so many unexplained contradictions. For example, the ICC Order indicates that, "the ICC instituted this declaratory order proceeding to address two specific questions," one of which was:

- (1) Whether the ICC rather than the FMC should have authority to determine the lawfulness of the services provided under tariffs filed with it, so that a person challenging the nature of the service provided under that tariff must do so before the ICC.

The question itself is rather artfully crafted. Not only does it mix and confuse in rem and in personam jurisdictions, but it manages to beg the real question involved in the proceeding. No one would argue with the premise that the ICC should have authority to determine "the lawfulness of services provided under tariffs filed with it," provided that one

recognizes that the "authority" the ICC possesses has to do with the nature of the services rendered under a through rate, as defined in the law. When, as here, the facts are that the services at issue may be water movements and may not involve a through rate, the question as phrased "begs" the ultimate question. Further, by specifying that "a person challenging the nature of the service provided under that tariff must do so before the ICC," the question again ignores the fact that both parties in this proceeding have agreed that through rate ICC movements are not in issue, but rather only those other movements which may not be through rate ICC movements. It also again ignores the difference between in rem and in personam jurisdiction.

Even given the above ambiguity the question in the ICC Order, with nothing more, could and should have easily been answered because in the Order itself it is correctly stated that:

The threshold question here is thus the appropriate distribution of functions between the ICC and the FMC in determining which agency has jurisdiction over services involving movements between Puerto Rico and the United States. It is now well settled that the ICC has plenary and exclusive jurisdiction to regulate both the motor and water segments of bona fide joint, through trade between Puerto Rico and points in the continental United States, while the FMC regulates water transportation between ports in the United States and Puerto Rico. *See Trailer Marine Transport Corp. v. FMC*, 602 F.2d 379 (D.C. Cir. 1979) (*TMT*), and *Puerto Rico Maritime Shipping Auth. v. ICC*, 645 F.2d 1102 (D.C. Cir. 1981) (*PRMSA*). . . .

Under the law, then, the answer to the initial question is that the ICC has jurisdiction over both the motor and water segments of a bona fide joint, through trade between Puerto Rico and points in the continental United States, and the FMC has jurisdiction over water transportation between ports in the United States and Puerto Rico. Under the legislative and case law, the place where the tariff is filed is not dispositive of the question.

The reason the initial question giving rise to the ICC order is not answered by reference to the holdings in the *TMT* and *PRMSA* cases is that for some inexplicable reason the ICC Order goes beyond the jurisdictional parameters set forth in those and other pertinent cases and volunteers (p. 3):

. . . What is not so clear, however, is which agency, the ICC or the FMC, should have the first opportunity to examine a particular service covered by a tariff filed with one or the other of the two agencies.

As is readily evident, the disposition of the initial question occasioning the declaratory order is far removed from the question of "which agency . . . should have the first opportunity to examine a particular service." This is especially so when one realizes that the "first" opportunity the Order refers to is misleading because it really means not only "first" but also "exclusive."³ In seeking to justify its engrafting of the "first" and "exclusive" aspects on the jurisdictional question, the ICC Order states (p. 6):

Yet, in our view treating the agencies as having concurrent jurisdiction is not the best approach because (as illustrated by the present case) it is likely to result in multiple and simultaneous actions before both agencies, and legal tactics similar to those employed in the "race to the courthouse" so common during the last decade. Moreover, the courts encourage the development of reasonable procedural mechanisms for resolving potential interagency disputes. *See Commonwealth of Pennsylvania v. ICC*, 561 F.2d 278, 292 (D.C. Cir. 1977). Thus we think the agencies should establish orderly procedures for handling such cases.

We conclude that the most reasonable mechanism for resolving potential disputes over ICC/FMC jurisdiction is to provide that the agency with which the tariff is filed has the primary and exclusive authority initially

³It is important to note that in the cases cited, where the Courts chartered the boundaries of ICC jurisdiction based on consideration of what was meant in the 1962 amendment (Public Law No. 87-595), none of them spoke in terms of "first." To do so was unnecessary because of the Courts' recognition that the nature of the service governed jurisdiction and that in some instances more than one agency might exercise its jurisdiction in personam over the same set of facts, even though concurrent jurisdiction (joint regulation of the same service) was not possible.

to determine whether the service is subject to its jurisdiction. Such a procedure in our view makes sense because when an ICC tariff rate is charged, the carriers purport to be operating the motor service under an ICC motor carrier license. We have the authority to assess in the first instance whether a motor service conducted under an ICC license is subject to ICC regulation. *See Service Storage, supra*. By contrast, when a port-to-port rate is charged in circumstances such as those here, the land portion of the service is purportedly a part of the water carrier's loading and unloading responsibility. FMC ought to have comparable, that is, primary and exclusive authority in the first instance to assess whether operations that are held out as water carrier loading and unloading are in fact subject to its jurisdiction. Thus, consistent with the doctrine of primary and exclusive jurisdiction, the ruling as to which agency has jurisdiction ought to come in the first instance from the agency that has accepted the tariff under which the operations are conducted.

The above language and conclusions fly directly in the face of the case law that has already been cited, some of which is quoted in the ICC Order with approval. While one cannot disagree with the statement or the motivation behind the statement that, "the agencies should establish orderly procedures," those procedures should not, and indeed cannot, contravene the rules and guidelines already established in the law. The courts have ordained that the nature of the service governs jurisdiction--the FMC regulates port to port movements, the ICC motor/water, rail/water through rate movements. To now ignore that law and to replace it with a rule that says jurisdiction initially and exclusively is predicated on where the tariff is filed is both invalid and unwise. Further, it is wrong to adopt such a rule on the mistaken averment that "treating the agencies as having concurrent jurisdiction is not the best approach, because (as illustrated by the present case) it is likely to result in multiple and simultaneous actions before both agencies, and legal tactics similar

to those employed in the 'race to the courthouse' so common during the last decade."⁴ The case law has already established that there is no "concurrent" jurisdiction. As to the forum shopping that was referred to, it did not develop because Congress gave "concurrent" jurisdiction to the agencies (of course, it not only did not do so but specifically forbade it). Forum shopping developed because in legislating the ICC regulatory authority over ICC domestic intermodal through rate movements, Congress did not define or establish a clear line of demarcation between the movements regulated by the agencies--a line the FMC suggested in its Comments in the *PRMSA* case.

Further, to suggest that forum shopping will stop or that "the most reasonable mechanism" for resolving potential disputes over ICC/FMC jurisdiction is to provide that the agency with which the tariff is filed has primary and exclusive jurisdictional authority initially, is patently invalid. One could hardly envision another course of action that would encourage not only more forum shopping but more litigation. Indeed, under such a rule litigants would simply file a tariff with the agency they believed would be most favorable

⁴The statement apparently stems from the ICC Order's conclusion that within the Comments filed by the FMC, that agency indicated that the FMC and ICC might exercise "concurrent" jurisdiction. This writer can find no such statement. Instead the FMC recognized that (p. 13):

. . . The Order (the FMC Order of April 28 in Docket No. 88-14) also affirmed that section 33 of the 1916 Act bars the FMC from attempting to exercise concurrent jurisdiction over ICC-regulated services. 46 U.S.C. app. sec. 832. Thus, *PRMSA*'s services for the Docket No. 88-14 complainants were either FMC port-to-port services or ICC through intermodal services; they cannot have been both.

and further that (p. 17):

No statute or court reserves exclusive jurisdiction over such an investigation to either the FMC or the ICC (citing the *TMT* and *PRMSA* cases). These cases confirmed the ICC's exclusive jurisdiction over rail/water and motor/water through services in the Puerto Rican trade--a matter, once again, not in dispute--but there is nothing in either decision to support the notion that only the ICC may determine where the boundary between through services and port-to-port services lies. On the contrary, in *TMT v. FMC*, the D.C. Circuit indicated that, as independent agencies, the FMC and the ICC may each maintain its own position if necessary, with the ultimate resolution being the duty of the courts. . . . (Parenthesis and emphasis supplied.)

without regard for the true nature of the movement involved. Further, when one explores the purpose of a tariff, what it means, and how it is filed, and how changeable a tariff can be, it seems irrefutable that the place of the filing of the tariff has no real bearing on the ultimate question of jurisdiction. Once again the case law emphasizes that jurisdiction is a fact bound question, *Thompson v. U.S.*, *supra*, that a through route may exist even in the absence of a covering tariff, *Denver & Rio Grande*, *supra*, and that assigning a carrier to FMC or ICC regulation according to its tariff identity is wrong. See *TMT*, *supra* (602 F.2d at 386, n. 31).

Finally, the statement in the ICC Order that its ruling is "consistent with the doctrine of primary and exclusive jurisdiction" is a completely subjective one that defies logic. It is well settled that the doctrine of primary jurisdiction is the deferral of a court of its power to hear a case pending administrative determination of issues particularly within agency competence. *Administrative Law*, Stein, Mitchell and Mezines, Volume 5 secs. 47.01 et seq. A reading of the above text and the cases cited therein clearly indicates that one of the primary reasons for the doctrine of primary jurisdiction is to give the courts the benefits to be derived by making use of agencies' special experience and expertise in complex areas with which judges have little familiarity. Courts recognize that statutes agencies administer should be interpreted by the agencies before the courts interpret them. *Eastex Inc. v. NLRB*, 437 U.S. 556, 568 (1978). Here, by basing jurisdiction on the place of filing of the tariff, regardless of the true nature of the movement, the ICC Order denies to any reviewing court the benefit of FMC expertise regarding port-to-port movements and the converse would be true regarding ICC movements if the tariff were filed at the FMC. So it is incorrect to say as does the ICC Order, that "consistent with the doctrine of primary

and exclusive⁵ jurisdiction, the ruling as to which agency has jurisdiction ought to come in the first instance from the agency that has accepted the tariff under which the operations are conducted." It would appear that the ICC Order confuses cases involving jurisdiction with primary jurisdiction cases even though they are fundamentally different. See *Administrative Law Treatise*, Kenneth Culp Davis, Second Edition, Volume 4, p. 95.

The above discussion takes on real and practical considerations if one looks closer at what happened in the ICC Order. In the case, on facts which the parties argued could have involved FMC or ICC movements, the ICC held it had initial and exclusive jurisdiction to decide the question despite the fact that it acknowledged the motor carriage involved might be the loading and unloading of the vessel, a port-to-port FMC regulated activity rather than a part of an intermodal through rate movement, an ICC regulated activity. Having stated the ICC had initial and exclusive jurisdiction the ICC Order then states, "they (the movements inside the terminal) are not the type of motor service that confers jurisdiction on this agency over through intermodal service" (parenthesis supplied). Even ignoring the legal implications of erroneously treating jurisdiction as some kind of judicial faucet that is turned on and off (it is well-settled that jurisdiction is something a court or agency has or does not have, something that cannot be after-acquired, or waived or gratuitously conferred), it must be obvious that had both agencies exercised jurisdiction over their own regulatory areas the case would have remained at the FMC, without the need for the ICC to be considering port-to-port water movements and without the need for the FMC

⁵It is difficult to know what is meant by reference to the "doctrine of primary and exclusive jurisdiction." (Emphasis supplied.) While primary jurisdiction is identifiable as a legal doctrine, exclusivity in terms of this proceeding is not. The "exclusivity" ruling could not be accepted here under prevailing jurisdictional principles based on the nature of the movements since both agencies might well have in personam jurisdiction over the parties. Where, as in the ICC Order, exclusivity is found based on the place of tariff filing, it is both invalid and illogical.

to have to file Comments in the ICC proceeding--all the result of accommodating the forum shopping which is frowned upon by both agencies. An even more compelling practical consideration would be involved if in *PRMSA* the ICC had "retained" jurisdiction by holding that an ICC movement was involved. If we understand the ICC Order correctly that would have meant that a protestant's only recourse would be to appeal such a holding, arguing that a port to port movement was involved, based on a record made by an agency which had little expertise in the regulatory area but which retained "exclusive" jurisdiction simply because a tariff had been filed at the agency.

In considering Sea-Land's arguments in its Motion to Dismiss, the comments previously made adequately address the merits. As to that portion of the Motion which would in the alternative stay the proceeding pending resolution of jurisdictional issues in the appropriate forum, the previous discussion serves to indicate that as to those shipments which did not involve an ICC motor carrier engaged in a through movement, the ICC is not the "appropriate forum," and if the shipments are port-to-port movements then the FMC is the "appropriate forum." As has been noted and as the record shows the parties have agreed that some of the shipments involved did not move in accordance with the ICC tariff and are more probably port-to-port movements. Sea-Land in discovery was ordered to disclose facts through documentary evidence and oral testimony of subpoenaed witnesses that would shed light on the nature of the shipments. Instead, Sea-Land has refused any further meaningful participation in the proceeding on the ground that the ICC has initial and exclusive jurisdiction because Sea-Land withdrew its FMC tariffs and filed new tariffs with the ICC on June 23, 1989. Sea-Land asserts that were it to take part in this proceeding it might be construed as a waiver of its jurisdictional arguments. This, even though this writer ordered that Sea-Land would not be waiving any of its jurisdictional

arguments. As has been noted, Sea-Land has not only failed to supply documentary evidence but it also has refused to allow witnesses to testify in answer to duly issued subpoenas. The enforcement of the subpoenas is now pending in the United States District Court.

Given the above facts the alternative Motion to Stay the Proceeding is without merit. While it is Sea-Land's prerogative to take whatever legal position it deems appropriate, its refusal to furnish facts in this proceeding because of jurisdictional arguments is frivolous. It unnecessarily delays submission of a case which has already been delayed beyond reason and does not allow proper consideration by the FMC of the jurisdictional questions that have been raised. Sea-Land's actions do not warrant any stay of proceedings

In summary, then, it is held that:

(1) The FMC has jurisdiction over water movements between ports in the United States and Guam.

(2) The exercise of its jurisdiction by the FMC in this proceeding over port-to-port movements does not violate section 33, Shipping Act, 1916.

(3) Jurisdiction of the FMC is a fact bound question based on the nature of the movements involved and is not governed by the place of filing of a tariff.

(4) The record in this case clearly indicates that after Sea-Land filed ICC tariff 538 on June 23, 1989, certain movements were delivered to Sea-Land's terminal without the participation of an ICC motor carrier. Sea-Land's refusal to disclose further facts in discovery, and its refusal to

allow witnesses to testify as to the exact nature of those shipments prevents any complete and meaningful consideration of the jurisdictional issue based on the legal precedents established by the courts.

(5) Sea-Land's refusal to participate further in this proceeding on the ground that to do so might constitute a waiver of its right to contest jurisdiction is frivolous, and without any legal basis. It serves only to delay this proceeding.

(6) The record in this proceeding does not support the grant of stay of the proceeding.

As was previously noted, in its Comments filed in the 1990 *PRMSA* case, the FMC made arguments and took certain positions which, in the view of this writer, and contrary to Sea-Land's position that the ICC Order is an "orderly and sensible procedure," form the basis for resolution of jurisdictional issues which have arisen and may arise involving the FMC and the ICC. Even though some of those positions go beyond what is involved in this case, it would be remiss not to consider them briefly.⁶

In its Comments, the FMC notes that, as here, its exercise of jurisdiction respecting port-to-port movements is no legal impediment to the ICC's jurisdiction over ICC tariffed bona-fide through rate shipments, noting that section 33, Shipping Act, 1916, bars concurrent jurisdiction (p. 13). It emphasizes that it clouds the issue to link the lawfulness

⁶For example, in *PRMSA* and *Valley*, unlike in this proceeding, the record contained enough facts to allow consideration of such things as the FMC carrier's duty to "furnish a convenient and safe place at which to receive cargo from the shipper and to deliver cargo to the consignee." *Terminal Rate Increases--Puget Sound Ports*, 3 U.S.M.C. 21, 23-24 (1948), vis-a-vis the movement of cargo containers by motor carriers between ship side and either the terminal gate or a "place of rest" under an ICC tariff movement.

of ICC tariffs with the nature of the transportation involved and states the existence of the tariffs creates the rebuttable presumption that the underlying services were in fact ICC services (pp. 15-17). The FMC Comments then properly evaluate the holdings in the *TMT* and the 1981 *PRMSA* cases noting that in determining the boundary between through services and port-to-port services each agency may maintain its own position "with the ultimate resolution being the duty of the courts." (pp. 17-18) The Comments then consider the case law noting how the courts have defined ICC and FMC jurisdiction in the cases previously cited. It then suggests that (pp. 31-32):

. . . in order to be a "joint through" motor/water route subject to ICC jurisdiction, the truck leg must extend outside the ocean terminal to some identifiable inland point and thereby provide an extra modicum of service not obtained by shippers delivering cargo directly to the ocean terminal, several benefits would appear to follow. Motor services confined within the ocean terminal would retain their historical identity as part of the water carrier's direct port-to-port service. A clear and consistent jurisdictional guideline would be provided that easily could be followed by the industry and administered by FMC and ICC tariff personnel. Such a result also would reflect more accurately the historical roots of joint through intermodal service, which assumed its present importance after ocean carriers began to release their containers to inland consolidators. It would represent a reasonable and sustainable interpretation of the "public highway" requirement for ICC jurisdiction. It would provide a meaningful definition of "port-to-port" service, thus safeguarding the FMC's jurisdiction. It would prevent regulatory forum-shopping not contemplated by Congress when it divided domestic offshore jurisdiction between the FMC and the ICC. Lastly, it would ensure that shippers are not obliged to pay "joint through rates" that do not reflect proper transportation value. . . .

In the opinion of the undersigned, the agencies have three alternatives to the jurisdictional questions being raised in this and similar proceedings. They can:

- (1) Continue to allow forum shopping and costly litigation and abide by the decision of the reviewing courts.

(2) Jointly or separately go to the Congress and request revision of the statutory law that will clearly and precisely redefine each agency's particular area of regulatory responsibility.

(3) Adopt their own line of demarcation in light of a water carrier's obligation to provide a place of rest to load and unload cargo vis-a-vis the need to have motor movements occurring only within the terminal gates to be considered as part of an ICC intermodal through movement.⁷

Whichever of the three alternatives is ultimately chosen, none of them involve taking initial and exclusive jurisdiction over particular movements and carriers on the basis of the place of filing of a tariff. Such a view is diametrically opposed to any relevant law relating to jurisdiction and, while well-intentioned, its application is both invalid and impractical.

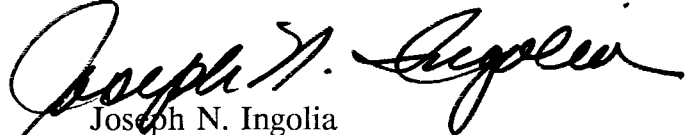
In view of the above and the entire record made in this case it is hereby,

ORDERED, that Sea-Land's Motion to Dismiss or, in the Alternative, to Stay Proceedings Pending Resolution of Jurisdictional Issues in the Appropriate Forum, is denied. It is,

⁷This latter alternative has to be considered in the light of note 10, at page 9 of the *PRMSA* slip opinion. In it, the ICC discusses the "bright-line" which might be drawn noting that it is "not sure that such a line can be drawn, that *Valley* was not being overruled and that it was not holding that "an inside-the-fence operation could never constitute a regulated carrier service."

The undersigned respectfully submits that if the agencies are to resolve the issue, then a line of demarcation must be drawn by them. It would not seem necessary to specifically overrule *Valley*, if the FMC and ICC could establish a line of demarcation from a particular date certain. Courts would most likely give deference to such action following *Chevron U.S.A. Inc. v. National Resources Defense Council Inc.*, 467 U.S. 837 (1984). If the agencies wished to insure that there would be no meaningful litigation, they could ask Congress to include the substance of their actions in appropriate legislation.

FURTHER ORDERED, that the Complainants will have fifteen (15) days after the service of this Order to reply to Sea-Land's motion for leave to appeal this ruling to the Commission.⁸


Joseph N. Ingolia
Administrative Law Judge

⁸It should be noted that after this decision was written the undersigned obtained a copy of the decision of the United States District Court for the District of New Jersey, issued as a Memorandum and Order in *Trailer Marine Transport Corp. v. Philadelphia Export Consolidators, Inc.* (Civ. No. 88-4634 (GEB)), dated February 8, 1991. In it the Court adopts the position that an alleged joint rail through rate service was not subject to ICC jurisdiction because it was in fact a port-to-port movement. The Court so found even though the tariff in question was an ICC tariff. It cited the ICC Order with approval quoting the language that the motor services provided were:

not the type of motor service that confers jurisdiction on this agency over through intermodal service,

and that:

the movement of cargo containers by small motor vehicles between shipside and either the terminal gate or a 'place of rest' inside the marine terminal . . . is essentially a part of the loading and unloading function. We thus agree with the FMC that these services entail nothing more than the discharge by the water carrier of one part of its port-to-port service obligations.

Nowhere in its decision did the District Court even refer to the ICC Order's holding that "initial" and "exclusive" jurisdiction is governed by where the tariff is filed. Instead, it adopted the nature of the movement as the test citing the *TMT* case.

The District Court opinion also briefly discusses the doctrine of primary jurisdiction and refers the matter to the FMC for its "particular expertise," rather than the ICC, despite the fact that the tariff was filed with the ICC.